
MANDAR DEODHAR

> **"The proposals on high-value and technology-intensive manufacturing will help build necessary muscle for long-term jobs and productivity, while the initiatives on services and skilling create more jobs in the short term"**
>
> **— ASHIMA GOYAL**

ILA PATNAIK: The seven-sector manufacturing thrust targets precisely where India can build durable competitive advantage. These are funded interventions with clear implementation pathways.

India Semiconductor Mission 2.0, the expanded Electronics Components Manufacturing Scheme, the Rare Earth Magnets programme—these create entire ecosystems, not just factories. High-tech manufacturing generates dense employment webs: design engineers, precision technicians, logistics specialists, quality controllers. One semiconductor fab employs thousands directly and tens of thousands indirectly.

The competitiveness question answers itself when you map global supply chain rewiring. Companies worldwide are de-risking from single-source dependencies. India, with scale, talent and now targeted policy support, becomes the logical alternative. The job creation follows naturally.

Q. Do the budget's measures on taxation, compliance and credit flow substantially improve the ease of doing business and investor confidence?

NEELKANTH MISHRA: There are several such measures. Through changes to tax rules, the government has tried to attract foreign firms setting up Global Capability Centres (GCCs). Changes to Safe Harbour rules for foreign firms should help speed up the entry of new players and boost services exports. Exemption on foreign income if the income is not deemed to accrue in India should help attract foreign talent. Shifting taxes on buybacks to capital gains should improve firms' ability to give capital back to investors. On credit flow, the government and RBI must work together to address the persistent challenges with liquidity so as to help transmit the benefits of fiscal consolidation to lower interest rates.

ASHIMA GOYAL: Predictability and absence of arbitrary changes add to investor confidence. Process reform and simplification make doing business easier, while careful incentive design and use of sophisticated financial instruments help leverage public money and bring in private business. The initiative on cities is essential for this and may improve delivery.

MADAN SABNAVIS: Yes, it does. The focus has been on compliance-related issues, including tax holidays, which have been announced for, say, data centre investments through FDI. A lot has been done earlier too, and hence we can see it as a continuous work in progress.

> **"The focus on compliance-related issues, including tax holidays for data centre investments through FDI, improves investor confidence and ease of doing business"**
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> **— MADAN SABNAVIS**


HARDIK CHHABRA

ILA PATNAIK: The tax measures demonstrate genuine sophistication—the IT sector safe harbour threshold rising from Rs 300 crore to Rs 2,000 crore, automated rule-driven approvals replacing discretionary assessments, fast-tracked APAs (Advance Pricing Agreements) within two years. These adjustments remove friction at an industrial scale.

The compliance rationalisation is equally substantive: converting penalties to fees, integrating assessment and penalty proceedings into common orders, allowing updated returns even after reassessment begins. This shifts the system from punitive to corrective—precisely what investors assess when evaluating regulatory risk. On credit flow, the Infrastructure Risk Guarantee Fund de-risks the construction phase for private developers. Doubling MSME credit limits and mandating TReDS for government purchases address working capital constraints that have long strangled small business growth.

Investor confidence rests on predictability. The budget delivers predictability through institutional reform—the trust-based AEO system, the five-year advance ruling validity, the decriminalisation of 180 provisions. That foundation matters more than any tax holiday. ■